

that they will, in the absence of neglect on their part, be entitled to be recouped out of their trust estate any loss they may suffer in respect of the documents.

The undertaking for safe custody involves a personal liability which trustees are not by law bound to take upon themselves and they should accordingly decline to give the statutory undertaking when retaining the possession of documents.]

58. **Sale of leaseholds.**—In a sale of *leaseholds* by trustees who take by *assignment* they cannot, in any case, require from a purchaser a covenant of indemnity against a breach of the covenants; for, as regards *themselves*, they took the lease by assignment without personally *cove- [*445] nanting, and therefore cease to be liable on the assignment over; and, as regards a covenant for the protection of the *settlor*, he has become a stranger by the execution of the trust deed, and the trustees could neither, in the absence of an express stipulation, insist upon a benefit to one with whom there is no existing privity, nor, as they are bound to make the sale the most beneficial to the *cestuis que trust*, could they insert a condition in favour of a stranger which might operate as a discouragement to purchasers (*a*).

59. **Executor of lessee.**—The *executor* of a *lessee* upon assigning the term would be entitled to such a covenant, his testator's estate being liable under the original covenants of his testator.

60. **Practice of the Court.**—Subject to the effect of the Act to be mentioned presently, where a lessee's estate is in course of distribution under the direction of the Court, a portion of the estate is usually reserved for the purpose of forming an indemnity fund against the covenants of the lease (*b*), unless the risk be inconsiderable (*c*). But no indemnity is provided where the testator's estate is not liable, as where the testator himself was not a *lessee*, but the *as-*

(*a*) See *Wilkins v. Fry*, 1 Mer. 244; *Garratt v. Lancefield*, 2 Jur. N. S. 177.

(*b*) *Cochrane v. Robinson*, 11 Sim. 378; *Fletcher v. Stevenson*, 3 Hare, 360; *Dobson v. Carpenter*, 12 Beav.

370; *Hickling v. Boyer*, 3 Mac. & G. 635; *Brewer v. Pocock*, 23 Beav. 310.

(*c*) *Dean v. Allen*, 20 Beav. 1; *Brewer v. Pocock*, 23 Beav. 310; and see *Reilly v. Reilly*, 34 Beav. 406.